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CASE NAME: Ashworth, et

al., v. J. Arthur Greenfield & Co. LLP, et al.

CASE NO.: 20SMCV00839

MOTION: Motion

for Summary Judgment/Adjudication

HEARING DATE: 6/26/2026

Legal

Standard

A party may move for summary judgment in any action or proceeding if it is contended the action has no merit or that there is no defense to the action or proceeding. (CCP, § 437c(a).) "The purpose of the law of summary judgment is to provide courts with a mechanism to cut through the parties' pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute." (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.)

"A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants

either owed or did not owe a duty to the plaintiff or plaintiffs.” (CCP, § 437c(f)(1).) If a party seeks summary adjudication as an alternative to a request for summary judgment, the request must be clearly made in the notice of the motion. (*Gonzales v. Superior Court* (1987) 189 Cal.App.3d 1542, 1544.) “[A] party may move for summary adjudication of a legal issue or a claim for damages other than punitive damages that does not completely dispose of a cause of action, affirmative defense, or issue of duty pursuant to” subdivision (t). (CCP, § 437c(t).)

To prevail, the evidence submitted must show there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law. (CCP, § 437c(c).) The motion cannot succeed unless the evidence leaves no room for conflicting inferences as to material facts; the court has no power to weigh one inference against another or against other evidence. (*Murillo v. Rite Stuff Food Inc.* (1998) 65 Cal.App.4th 833, 841.) In determining whether the facts give rise to a triable issue of material fact, “[a]ll doubts as to whether any material, triable, issues of fact exist are to be resolved in favor of the party opposing summary judgment...” (*Gold v. Weissman* (2004) 114 Cal.App.4th 1195, 1198-99.) “In other words, the facts alleged in the evidence of the party opposing summary judgment and the reasonable inferences there from must be accepted as true.” (*Jackson v. County of Los Angeles* (1997) 60 Cal.App.4th 171, 179.) However, if adjudication is otherwise proper the motion “may not be denied on grounds of credibility,” except when a material fact is the witness’s state of mind and “that fact is sought to be established solely by the [witness’s] affirmation thereof.” (CCP, § 437c(e).)

Once the moving party has met their burden, the burden shifts to the opposing party “to show that a triable issue of one or more material facts exists as to that cause of action or a defense thereto.” (CCP § 437c(p)(1).) “[T]here is no obligation on the opposing party... to establish anything by affidavit unless and until the moving party has by affidavit stated facts establishing every element... necessary to sustain a judgment in his favor.” (*Consumer Cause, Inc. v. SmileCare* (2001) 91 Cal.App.4th 454, 468.)

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“The pleadings play a key role in a summary judgment motion. The function of the pleadings in a motion for summary judgment is to

delimit the scope of the issues and to frame the outer measure of materiality in a summary judgment proceeding.” (Hutton v. Fidelity National Title Co. (2013) 213 Cal.App.4th 486, 493, quotations and citations omitted.) “Accordingly, the burden of a defendant moving for summary judgment only requires that he or she negate plaintiff’s theories of liability as alleged in the complaint; that is, a moving party need not refute liability on some theoretical possibility not included in the pleadings.” (Ibid.)

Analysis

Defendant J. Arthur Greenfield & Co. LLP (“JAG” or Defendant) moves for summary judgment or adjudication under CCP section 437c(f)(2). JAG notices the following three issues:

Issue no. 1: “MS. DERIAN’S CO-TRUSTEE ROLE AND JAG’S TAX PREPARATION SERVICES WERE DISTINCT, AND THEREFORE NO CONFLICT OF INTEREST EXISTED”;

Issue no. 2: “PLAINTIFFS WERE NOT JAG CLIENTS AND MS. DERIAN’S CO-TRUSTEE ROLE DOES NOT IMPOSE A FIDUCIARY DUTY FOR TAX PREPARATION SERVICES”;

Issue no. 3: “EVEN IF LIABILITY WERE IMPUTED TO JAG FROM MS. DERIAN, WHICH IT IS NOT, EXPERT ANALYSIS ESTABLISHES THAT PLAINTIFFS’ ALLEGED DAMAGES ARE LEGALLY UNSUPPORTED.”

Evidentiary Issues

Plaintiffs’ objections are OVERRULED. Initially, the Court was considering sustaining objection nos. 2-4 and 7-17, based upon Mr. Dellinger’s deposition testimony in which he claimed not to be giving any opinions on Derian’s performance as trustee, and that his opinion was limited to area of expertise regarding the standard of care applicable to CPAs. In these paragraphs, Mr. Dellinger opines as to Derian’s performance of her role as Co-Trustee, generally claiming that she exercised independent and reasonable fiduciary judgment and met the standard of care of trustees. Some portions of those paragraphs also pertain to JAG’s CPA issues, e.g., no. 16 [¶ 69], but the opinion is objectionable to any opinion he renders re: Derian’s performance as co-trustee based on the presented deposition testimony. In reply, Defendant argues that these statements were taken out of context, and that he repeatedly affirmed his ability to opine in line with MSJ

declaration. Based upon the evidence submitted in Reply (Noon Decl., ¶¶ 3-4), the Court concurs that Dellinger affirmed his ability at his deposition to render these at-issue opinions.

Defendant's objections to the Ashworth, C. Coats, N. Coats, and Cheadle declarations are SUSTAINED as to nos. 7 [as to hearsay statements] and 13 [as to improper expert opinion as to what "should have been done" re: notice to the beneficiaries], and OVERRULED as to the remainder. Defendant's objections to the Gabrielson and Kahrs declarations are OVERRULED.

Successive Motions

CCP section 437c(f)(2) states in relevant part: "A party shall not move for summary judgment based on issues asserted in a prior motion for summary adjudication and denied by the court unless that party establishes, to the satisfaction of the court, newly discovered facts or circumstances or a change of law supporting the issues reasserted in the summary judgment motion."

Each of the issues in this motion were already decided at a prior MSJ. The prior MSJ/MSA litigated issues concerning JAG's duties to Plaintiffs and breach of said duties under the professional negligence and fiduciary duty theories. The Court found that Plaintiffs did not lack standing to sue, even though they were not direct clients of JAG, since they were third party beneficiaries. (See *Saks v. Damon Raik & Co.* (1992) 7 Cal.App.4th 419, 427 [beneficiary of a trust, having no legal title or ownership interest in the trust assets, is not the real party in interest and may not sue in the name of the trust]; *Wolf v. Mitchell, Silberberg & Knupp* (1999) 76 Cal. App. 4th 1030, 1036-1040 [recognized an exception to this general rule, where a beneficiary of a trust may bring an action against a third party to recover property transferred to the third party by the trustee in breach of trust, where the trustee has failed to bring suit against a third party on behalf of a trust]; see also *Est. of Bowles*, (2008) 169 Cal. App. 4th 684, 692-694 [holding beneficiaries may pursue independent claims against third parties that "actively participate" in or "knowingly benefits" from a trustee's breach of trust; remaindermen beneficiary stated a claim against other beneficiary and third party that induced the trustee to sell trust property at less than fair market value to third party, while knowing that the transactions breached the trustee's duties].) The Court further noted that

Plaintiffs alleged that JAG intentionally engaged in a conflict of interest and promotion of their own and the trustee-beneficiary's interests over Plaintiffs' interest. (Compl., ¶¶ 21, 26, 28, 29, 34.) JAG failed to present competent expert testimony concerning the applicable standard of care for accountants to negate the alleged breach. JAG also alleged that the damages were uncertain, but that argument largely relied on the same duty and breach analysis.

JAG again challenges its alleged duty, breach, and resulting damages with the instant three issues. First, JAG argues that there was no breach, because there was no conflict of interest and JAG only provided tax services distinct from Derian's actions as co-trustee. Second, JAG argues there was no duty, because Plaintiffs were not JAG clients and Derian's role did not impose fiduciary duties for JAG's tax preparation services. Third, JAG argues that it caused Plaintiffs no damages, as established by new expert testimony. There have been no significant change in circumstances or law. Instead, JAG belatedly secured an expert declaration to support their MSJ. JAG could have timely brought this evidence at the prior hearing if it exercised reasonable diligence. Despite these issues, the Court will tentatively exercise its discretion and consider the merits based on the new expert evidence presented.

Issue no. 1: JAG's Distinct Tax Services Posed No Conflict of Interest

JAG explains the background of the case. On June 15, 1978, Roy Coats, a wealthy businessman, with his wife, Laura Coats, created and executed the Roy Coats Family Trust, a Qualified Terminable Interest Property Trust, QTIP Trust, (the "Trust"), for the benefit of surviving spouse (Laura Coats), with remainderman beneficiaries as Roy Coats' adult children (Plaintiffs Virginia Coats Ashworth, Nancy Coats Routh, and Christy Lynn Coats). (UMF 1.) On January 19, 1987, the Trust was restated in its entirety, which established an irrevocable QTIP Trust in the event Roy predeceased Laura. (Id.) The QTIP Trust was to provide for Laura's financial needs by giving her a lifetime income interest in the QTIP Trust assets and to pass the QTIP Trust assets to Plaintiffs upon Laura's death. (Id.)

JAG highlights some of the Trust's relevant terms. "During the lifetime of the Surviving Spouse, all income of the QTIP Trust shall be distributed to him or her in quarter-annual or

more frequent installments... In this respect, only the needs of the Surviving Spouse shall be of importance and the rights of the remaindermen shall be considered to be without significance." (UMF 2.) "Trustee has the right to "invest the funds of the Trust Estate including the proceeds from the disposition thereof...as Trustee shall deem to be for the best interests of the Trust Estate and the beneficiaries thereof, without being limited at any time to the class of investments... In balancing the portfolio of investments hereunder, the needs of the current beneficiary or beneficiaries shall be of primary importance and the rights of the remaindermen shall be considered of secondary significance." (UMF 3.) "No successor Trustee shall be under any duty to examine the books and records of its predecessor Trustee. Any successor Trustee may accept as full trust corpus any properties which may be turned over to it... Except as expressly provided herein, Trustee hereunder shall not be liable for any mistake or error in judgment in the administration of any trust hereunder which results in loss to such trust by reason of investment or otherwise, save only for willful misconduct or fraud." (UMF 4.)

On February 15, 1988, Roy died, resulting in the establishment of the QTIP Trust with Plaintiffs as remainderman beneficiaries, Laura as trustee of the QTIP Trust, and Wilmington Trust as corporate co-trustee. (UMF 5.) Notably, in 2005, the Delaware Court of Chancery removed the requirement of a corporate co-trustee and permitted the role be filled by a qualified disinterested co-trustee who is an attorney or an accountant. (UMF 6.) On December 12, 2009, Laura appointed Nancy Derian as co-trustee of the QTIP Trust, as Qualified Disinterested Trustee. (UMF 7.) JAG was retained for the QTIP Trust's annual preparation of its income tax returns. (UMF 8.)

On March 19, 2015, Derian mailed letters to Plaintiffs (on JAG letterhead) disclosing that she is co-trustee of the QTIP Trust and that she had worked with Laura for many years, assisting primarily with tax planning, compliance and consulting on tax and general financial matters. (UMF 9.) Plaintiffs did not raise any concern at the time about a potential conflict after receiving these letters, or object to JAG's tax preparation services. (UMF 10-11.)

JAG presents evidence that Derian complied with the standard of care regarding conflicts of interest. Derian researched, spoke with partners, advisors, and attorneys, and reviewed applicable AICPA Rules prior to accepting the appointment of co- trustee, and concluded there

was no conflict. (UMF 12.) JAG contends via expert declaration that Derian was not conflicted in her role as Co-Trustee with her employment at JAG. (UMF 13.) Derian charged reasonable trustee fees. (UMF 15.) Derian did not perform any audits, reviews, or compilations for the Trust. (UMF 16.) Derian as successor co-trustee, continued with the same methodology the previous institutional and professional trustees employed, and had no reason to believe they intentionally or negligently chose poor investment strategies or allowed improper allocations or elections. (UMF 28.)

JAG argues that it only performed tax preparation service on behalf of the trust and was hired by the trustees to perform tax preparation services. (UMF 8.) JAG charged the QTIP Trust its standard rates for tax preparation services, and billed their time based upon hourly rates. (UMF 14.) JAG did not perform any audits, reviews, or compilations for the Trust. (UMF 16.) JAG never provided any business management services, never provided any financial forecast projections, never provided business projection planning, never provided any investment review, and never provided estate planning or tax planning services in connection with the QTIP Trust. (UMF 17.) JAG only prepared the QTIP Trust tax returns. (UMF 18.) Critically, JAG disclaims assisting, intentionally participating in, or aiding and abetting Derian or any other Defendant, or colluding with any trustee to intentionally cause harm to the beneficiaries. (UMF 25.) JAG was not negligent in its tax preparation services. (UMF 26.) JAG submits expert testimony that it was not conflicted by Derian's appointment of Qualified Disinterested Trustee. (UMF 27.)

JAG also notes that from 2009 to 2018, REC Management (owned by Laura Coats and managed by Thomas Schulz) provided investment advice and management services to the QTIP Trust in exchange for management fees paid by the QTIP Trust, determined by predecessor co-trustee Wilmington Trust to be considered as discretionary distributions from the Trust. (UMF 19.) After Laura's death in 2017, no further payments were made to REC Management. (UMF 20.) In December 2019, Plaintiffs became successor co-trustees of the Trust. (UMF 21.) At the time, Plaintiffs did not object to the investment strategies under the Trust, raise any issue with Derian or anyone else regarding investments, loans, administration costs, etc., or raise any issues about JAG's services. (UMF 22-24.)

The Court is not persuaded that the undisputed material facts establish JAG's services were entirely "distinct" from

Derian's services as the disinterested co-trustee. While JAG contends that it did not control, direct, or participate in actions taken by Derian in her capacity as Co-Trustee, it presents no UMF as to this point. Derian allegedly was the agent of JAG when performing her services as co-trustee. (Compl., ¶ 9.) Derian is admittedly a partner of JAG. (Derian Decl., ¶ 1; Compl., ¶ 21.) Thus, JAG fails to establish its initial burden on its alleged vicarious liability of Derian. There is also conflicting evidence whether Derian was acting on behalf of JAG while acting as the disinterested co-trustee of the Trust. For example, Derian sent Plaintiffs letters on JAG letterhead when she disclosed her professional relationship with Laura. (UMF 9.) Derian testified at her deposition that when she acted as co-trustee of the QTIP Trust, she did so through JAG and not as an individual. (AMF 70; Cheadle Decl., Ex. 9 at 51:23-52:4.) Therefore, a dispute of fact exists as to vicarious liability. Accordingly, if Derian is liable for her role as trustee, then JAG may be vicariously liable.

Moreover, Plaintiffs present a dispute of fact as to whether Derian's conduct fell below the standard of care. Plaintiffs' trust expert expressly opines that Derian's conduct fell below the standard of care of a trustee and as a fiduciary. (UMF 28; AMF 148-178.) Kronvall opines that

Derian was not a disinterested Co-Trustee of the QTIP Trust because both Derian and JAG provided tax services to multiple parties with competing interests which created a structural conflict of interest. (Kronvall Decl., ¶13.) Derian confirmed JAG prepared Laura Coats' personal income tax returns from approximately 1993 through 2017 or 2018; prepared returns for Laura Coats and Thomas Schulz as a married couple over a similar period; performed tax work for REC Management; provided professional services to Cadmus beginning in 2011; and identified the 'Coats group of accounts' at JAG as including Laura Coats and Thomas Schulz, REC Management, the QTIP Trust, and the Coats Foundation. (Kronvall Decl., ¶19.) Those overlapping engagements created a structural conflict of interest rooted in prior knowledge and divided loyalties, not merely overlapping roles. (Id.) Derian never provided a full written disclosure of conflicts and had them provide written consent to the same. (Kronvall Decl., ¶¶13, 18-20, 42-44; Gabrielson Decl., ¶¶1-33.) The March 19, 2015, letter did not give Plaintiffs any meaningful ability to evaluate conflicts of interest or consent thereto. (Kronvall Decl., ¶¶13, 18-20, 42-44; Gabrielson Decl., ¶¶1-33; Ashworth Decl., ¶¶7-25; N. Coats Decl., ¶¶7-21; C. Coats Decl., ¶¶7-25.) Plaintiffs never received any information relating to potential or actual conflicts of interest nor were they provided any

information relating to the administration of the QTIP Trust and therefore had no factual basis to raise any concerns about potential conflicts with Derian. (Ashworth Decl., ¶¶7-25; N. Coats Decl. ¶¶7-21; C. Coats Decl., ¶¶7-25.) Kronvall also opines that Derian, as Co-Trustee of the Trust, had a fiduciary duty to exercise independent judgment and review and analyze the administration of the QTIP Trust and her admitted failure to do so was a breach of her fiduciary duties and the standard of care. (Kronvall Decl., ¶¶16-17, 21-27, 39-44.) A fact finder could conclude from Derian's disregard and abdication of any independent judgment and review of the trust administration, while benefitting from trust assets and other potentially conflicted relationships with the trustees and beneficiary, would be actively participating in or knowingly benefiting from a trustee's breach of trust. (Est. of Bowles, *supra*, 169 Cal. App. 4th at 692-694.)

As there is a dispute of material fact on multiple points of issue no. 1, the motion is DENIED as to issue no. 1.

Remaining Issues

Issue nos. 2-3 rely on the same UMFs and the same basic legal analysis concerning Derian's breach of the standard of care. Those issues are also subject to the same disputes of material fact discussed above, among other issues. For example, there are no UMFs establishing that Derian's alleged breaches could not have caused damages. Accepting Dellinger's conclusion that there is no causation for certain items of damage (see Dellinger Decl., ¶¶ 57-64), Plaintiffs still present conflicting expert testimony. Ratifying improper monthly payments of \$6,000 per month to Laura Coats' related family business, REC Management, Inc., resulted in approximately \$4.4 Million in damages to Plaintiffs. (Kronvall Decl., ¶¶13-14, 28-30, 39-44; Kahrs Decl., ¶¶18, 21.) Ratifying an improper stock to bond ratio of QTIP Trust Assets that favored Laura Coats resulting in approximately \$11 Million in damages to Plaintiffs. (Kronvall Decl., ¶¶13-14, 24-26, 39-44; Kahrs Decl., ¶¶15 and 21.) Ratifying yearly distributions of QTIP Trust assets in excess of net distributable income allowed to be distributed to Laura Coats pursuant to the terms of the QTIP Trust resulted in approximately \$2.6 Million in damages to Plaintiffs. (Kronvall Decl., ¶¶13-14, 26, 39-44; Kahrs Decl., ¶¶12-13, 21.) Ratifying the allocation of bond premiums to the Plaintiffs to the benefit of Laura Coats resulted in approximately \$5.9 Million in damages to Plaintiffs. (Kronvall Decl., ¶¶13-14, 25-26, 39-44; Kahrs Decl., ¶16.) Ratifying the \$2 Million in loans from the QTIP Trust to Laura Coats resulted in approximately \$1.6 Million in damages to Plaintiffs. (Kronvall Decl., ¶¶13-14,

31-33; 39-44; Kahrs Decl., ¶¶19, 21.) Derian's receipt of a \$150,000 gift from the Estate of Laura Coats resulted in approximately \$210,000 in damages to Plaintiffs (Gabrielson Decl., ¶26; Kahrs Decl., ¶20.)

Accordingly, the motion is DENIED.